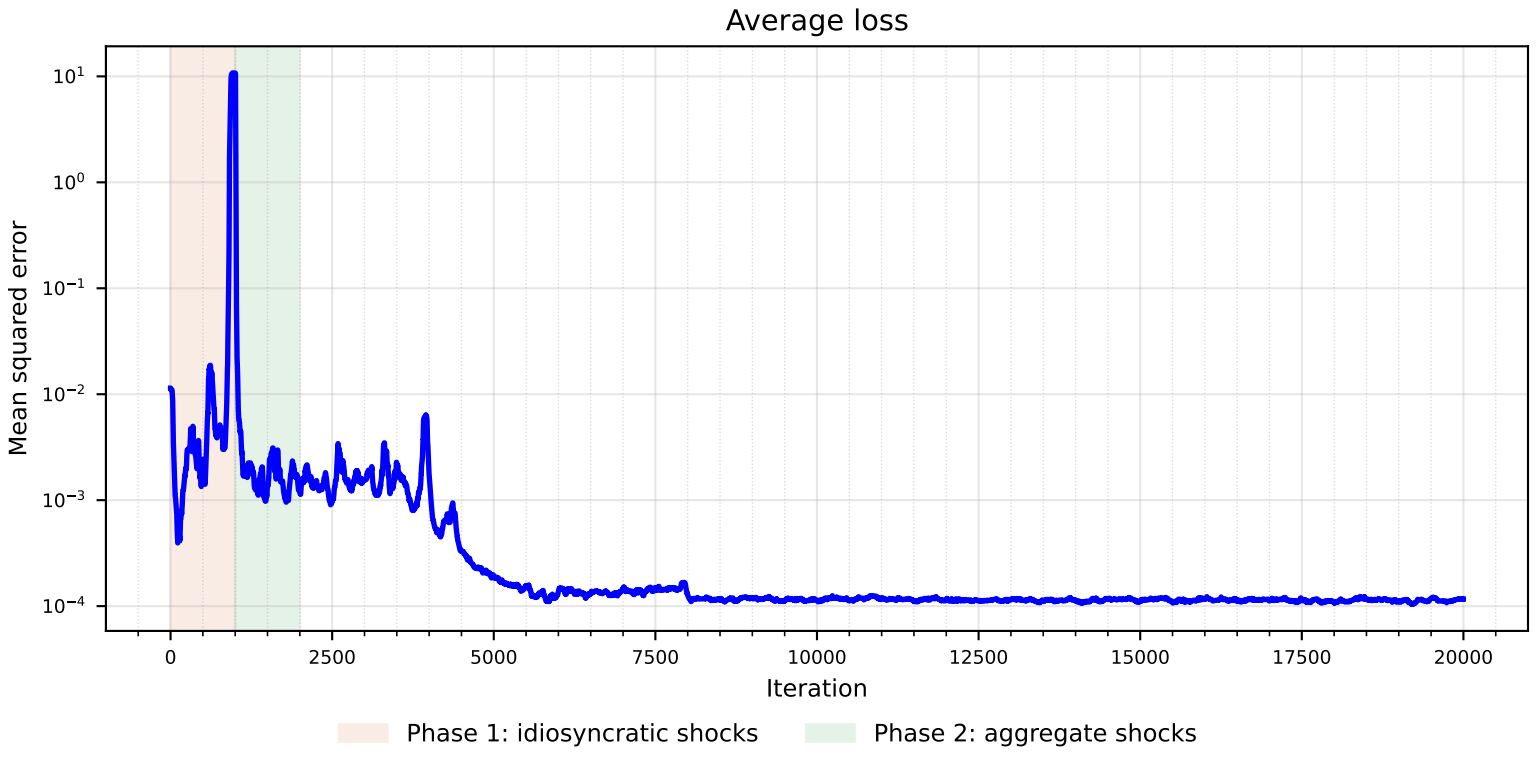
Average loss
Mean squared error
10^{1}
10^{0}
10^{-1}
10^{-2}
10^{-3}
10^{-4}
0
2500
5000
7500
10000
12500
15000
17500
20000
Iteration
Phase 1: idiosyncratic shocks
Phase 2: aggregate shocks